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LatAm's silicon dividend: tailwinds from the AI investment boom in the U.S.

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Key messages:

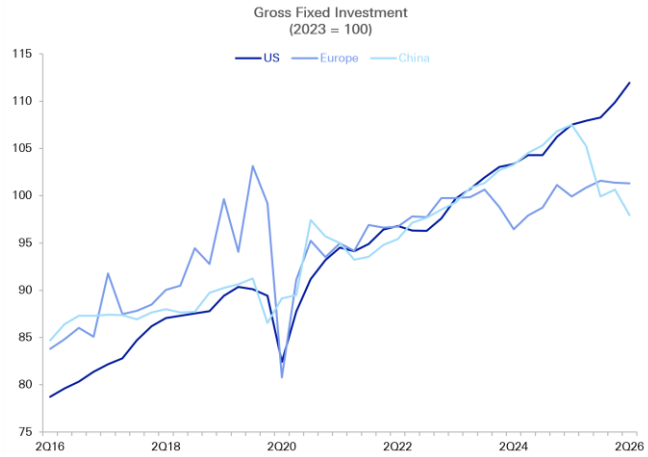
- U.S. investment has broken away from Europe and China since 2023, powered by AI-related equipment, software and research spending.
- The AI CapEx boom demands commodities and merchandise that LatAm can supply.
- Latin America's export gains are real but concentrated. Copper, computer and electronics products provide the clearest links to the U.S. AI buildout.
- Chile is the region's most direct copper beneficiary. Mexico captures the windfall stemming from increases hardware demand and trade-diversion. In these cases, the AI-related tailwinds have undergirded appreciable improvements in external accounts.
- The cases for nickel and zinc illustrate that the dividend is not widespread. U.S. imports of the former have mostly returned toward pre-pandemic levels, while for the latter bilateral gains partly reflect supplier substitution.
- While expanding AI use, supply shortages and incentives can extend the CapEx boom, its financial viability poses downside risks.

Another 'American exceptionalism' story

Investment has become one of the sharpest dividing lines among the world's core economic blocs. Since 2024, U.S. gross fixed capital formation has firmed up appreciably. Meanwhile, investment in Europe has broadly stalled while in China's it has retreated, the drivers of which are beyond the scope of this report (Figure 1).

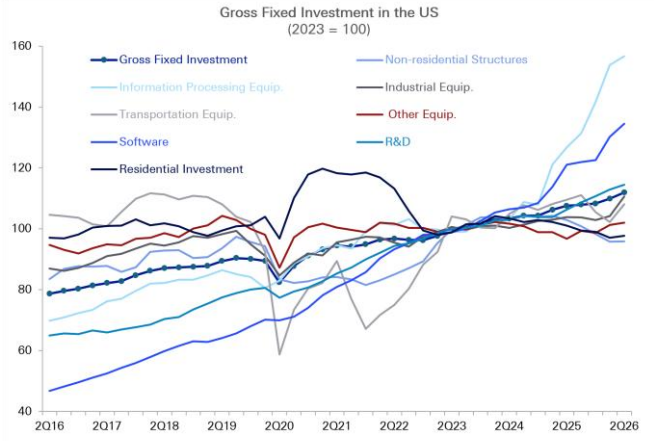
The U.S. divergence has largely been an AI story: a burst of spending on computing power, digital infrastructure and intellectual property has offset weakness in conventional construction and housing. Indeed, total U.S. fixed investment is nearly 12% above its 2023 level. Within it, investment in information-processing equipment has risen by roughly 57%, software outlays by about 35%, and research and development by around 15%. By contrast, non-residential structures and residential investment sit below their 2023 levels (Figure 2).

Figure 1: The global investment divergence



Source: US Bureau of Economic Analysis, Eurostat, National Bureau of Statistics of China, Haver Analytics and Deutsche Bank Research

Figure 2: AI-related categories lead U.S. investment



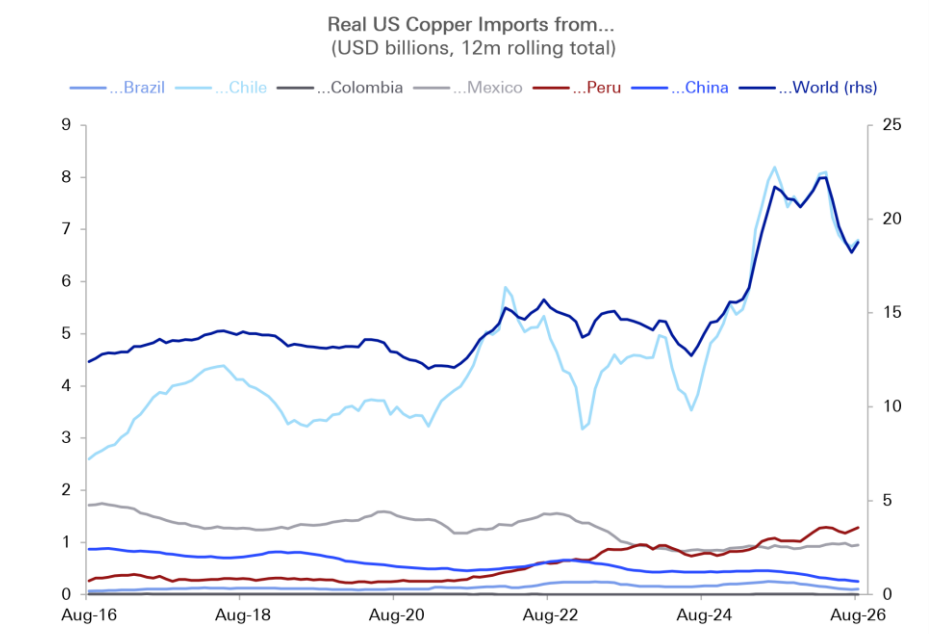
Source: US Bureau of Economic Analysis, Haver Analytics and Deutsche Bank Research

Latin America's commodity channel

AI is not merely a semiconductor story. Chips require specialized minerals; data centers require electricity and cooling; electricity requires grids, transformers and storage. That chain pulls in copper, aluminum, silver, tin, lithium and selected semiconductor inputs, along with natural gas and uranium. Latin America has meaningful exposure to several of these inputs, but copper has emerged as the commodity with the cleanest and most economically significant regional link.

Copper is used throughout the AI infrastructure stack, including power cables, substations, transformers, server boards, heat sinks and cooling systems. Rising U.S. copper demand has lifted imports from Chile and Peru, particularly the former (Figure 3). The effect matters beyond merchandise export volumes. Favorable terms-of-trade have helped Chile generate a current-account surplus for the first time in roughly fifteen years (0.2% of GDP as of Q2 2026 on a 4-quarter rolling basis) and have allowed Peru to log the largest surplus in about forty-five years (4.5% of GDP as of Q2 2026 on a 4-quarter rolling basis).

Figure 3: Copper epitomized the commodity link

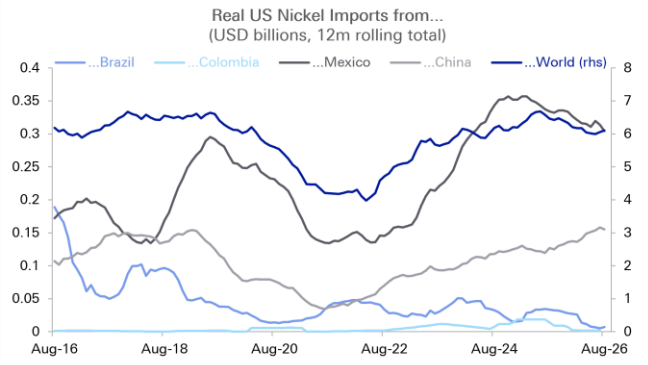


Source: U.S. Census Bureau, Haver Analytics and Deutsche Bank Research

Not every metal is copper

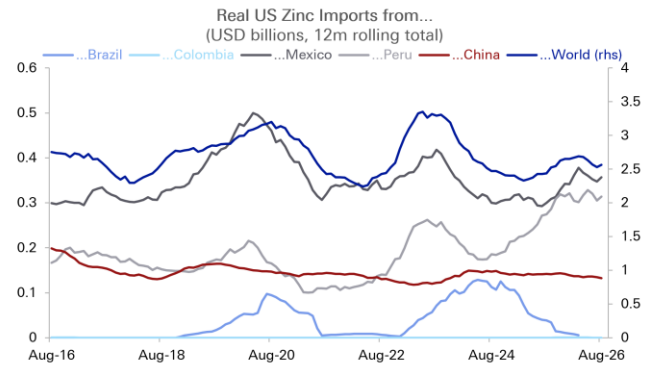
The broader mining story demands more caution, though. U.S. nickel imports have recovered toward pre-Covid levels, but the upswing has not displayed the same persistence as copper. Mexico has captured a disproportionate share of the bilateral improvement, yet that gain looks more like normalization than a sustained AI-driven break (Figure 4). Zinc tells a similar story. U.S. real imports stand shy of their pre-pandemic levels, and stronger purchases from Mexico and Peru partly reflect a reallocation away from Brazil rather than a decisive increase in U.S. demand (Figure 5).

Figure 4: Nickel: recovery, not a boom



Source: U.S. Census Bureau, Haver Analytics and Deutsche Bank Research

Figure 5: Zinc: a substitution story



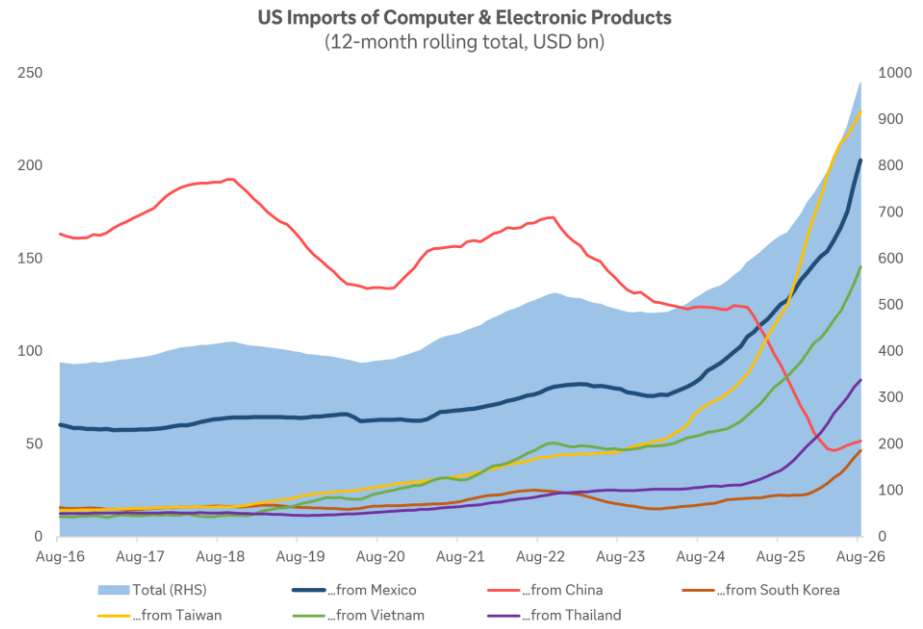
Source: U.S. Census Bureau, Haver Analytics and Deutsche Bank Research

Mexico's hardware advantage

The larger non-commodity prize is in computers and electronics. U.S. imports of these products have sky-rocketed, while the supplier mix has shifted away from China. Mexico and various Asian economies have gained share on the back of this double-whammy impulse (Figure 6).

This helps explain why Mexico's non-automotive manufacturing exports, notably electronics, have outpaced automotive shipments to the U.S. and pressures from higher oil prices. The resulting non-oil trade surplus has offset pressure from the oil balance and helped Mexico generate a balanced current account (0% of GDP as of Q2 2026 on a 4-quarter rolling basis). The external boost is meaningful, although it should not necessarily be interpreted as *bona fide* evidence of nearshoring, in our view.

Figure 6: U.S. computer & electronics imports going into overdrive



Source: U.S. Census Bureau, Haver Analytics and Deutsche Bank Research.

How much runway remains?

Quantifying or mapping out a timeframe for the AI investment outlook is beyond the scope of this piece or our expertise. Nevertheless, we'd venture to argue that the capex cycle appears more likely to mature gradually than to stop abruptly. One reason is that the investment case is shifting from frontier-model training toward enterprise inference. Capacity that once served development can increasingly run commercial workloads for companies. That creates a path to revenue even if artificial general intelligence (AGI) crystallizes later than expected. It also spreads demand to a much larger corporate customer base.

A second reason is scarcity. Graphics processing units (GPUs) remain tight, while power availability, grid connections, cooling equipment, construction capacity and data-center complexity limit how quickly supply can respond. Bottlenecks may therefore extend the cycle. The constraint is especially relevant for copper



and power infrastructure, where projects have long lead times and permitting hurdles.

A third reason is strategic. AI development resembles a prisoner's dilemma at both the corporate and national levels. Each participant may worry about costs, safety and control, yet slowing unilaterally risks surrendering technological, commercial or national security advantages. The same tension is visible in calls for guardrails alongside continued spending. Competition can therefore sustain capex even when short-term returns are uncertain.

We acknowledge the risks, nonetheless. Higher borrowing costs raise the hurdle rate for an infrastructure buildout financed partly through debt. More important, revenues must eventually justify the installed capital base. The bearish case is not that AI lacks value; it is that infrastructure spending may run ahead of monetization, compromising some companies' repayment capacity. Public opposition to the development of AI infrastructure and/or adoption of AI technologies could also slow down the technology's roll-out.

The regional balance

Summing up, the AI investment boom in the U.S. is delivering a dividend to parts of Latin America, not the region as a whole. Chile and Peru benefit through copper prices and export volumes. Mexico benefits through electronics manufacturing and the replacement of Chinese supply. For Brazil and Colombia, the AI dividend is rather muted. Where materialized, furthermore, the dividend supports trade and current accounts more clearly rather than improving the domestic investment.

These dynamics should persist while U.S. AI investment remains supply-constrained and strategically protected. If widespread adoption advances and the strategic race intensifies, the impulse can last. If financing costs rise further or monetization disappoints, the cycle may narrow. Either way, copper and Mexican electronics remain the region's most visible gauges of the U.S. AI investment appetite.

Appendix 1

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